

applying absolute momentum to enter and exit the 11 equally weighted equity sectors, while also capturing the higher returns that sometimes come from relative strength momentum. DMSR can also reduce portfolio risk exposure by rotating into defensive sectors, such as consumer defensive and utilities, prior to market tops. These defensive sectors often hold up well following market tops and before trend-following absolute momentum can kick in and take us out of all equity positions.

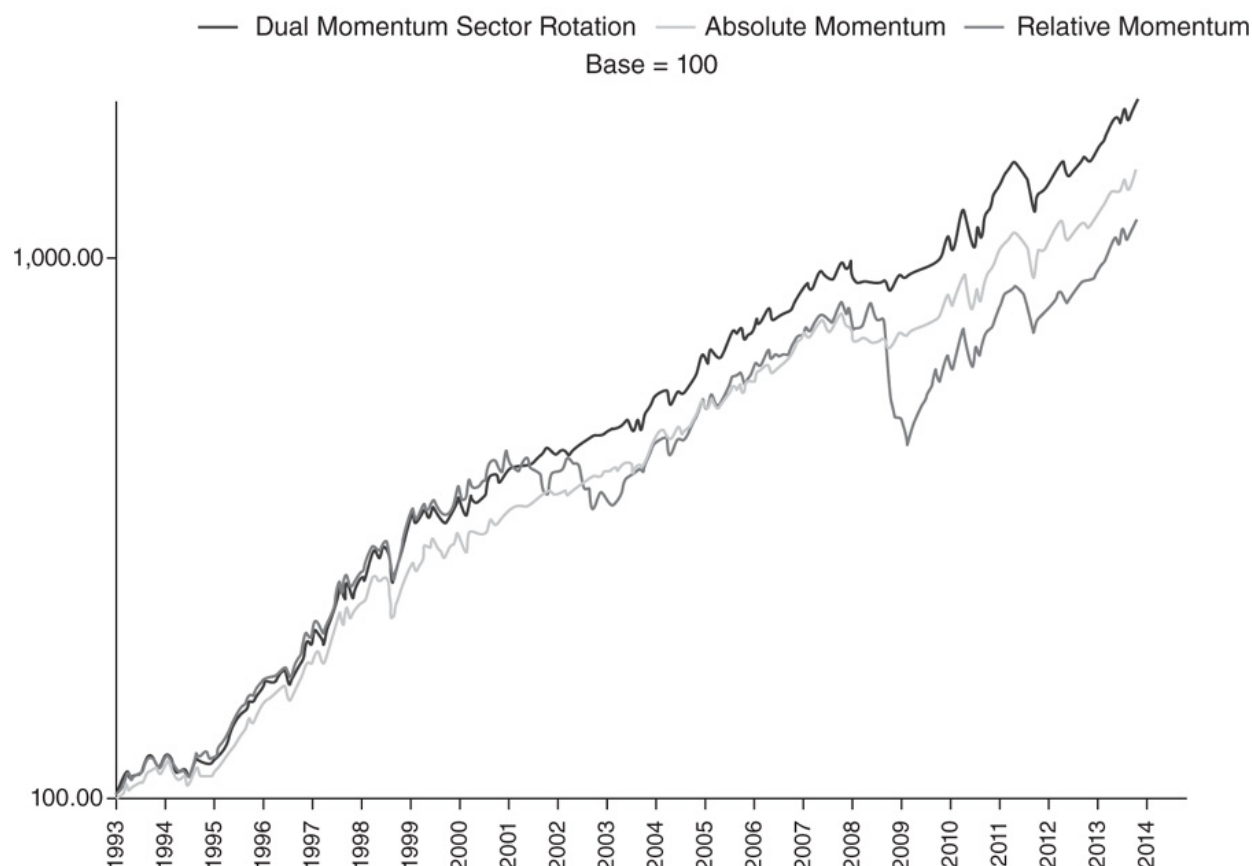


Figure 9.4 Sector Rotation, Absolute and Relative Momentum, 1993–2013

WHAT TO DO NOW

There are many ways to use dual momentum. The risk reduction that comes from absolute momentum frees us to go after markets such as U.S. equities that offer the highest risk premium instead of having to focus on